



Southwest Airlines vs United Airlines

Ryan Mukherjee, Ani Okropiridze, Ayush Sathish, Alex Sendeki, Eira Sharma

Investment Analysis | Rutgers University

April 2026



Table of Contents

- 01** **Company Overview & Business Models**
- 02 Revenue, Profitability & Margin Analysis
- 03** Valuation & Capital Structure
- 04 Fleet Strategy & Operational Scale
- 05** **Strategic Transformation Initiatives**
- 06 Premium Revenue & Ancillary Monetization
- 07** **Macro Headwind: The Iran/Jet Fuel Crisis**
- 08 Risk Factors & Investment Thesis

Company Snapshots

Southwest Airlines (LUV)

HQ	Dallas, TX
CEO	Bob Jordan
Model	Point-to-Point, Low-Cost
Fleet	803 aircraft (all Boeing 737)
Employees	~72,000
Revenue (FY25)	\$28.1B
Market Cap	~\$19.4B
Stock Price	~\$39.70

United Airlines (UAL)

HQ	Chicago, IL
CEO	Scott Kirby
Model	Hub-and-Spoke, Full-Service
Fleet	1,054+ mainline + 430 regional
Employees	~110,000
Revenue (FY25)	\$59.1B
Market Cap	~\$31.2B
Stock Price	~\$96.45

Business Model Comparison

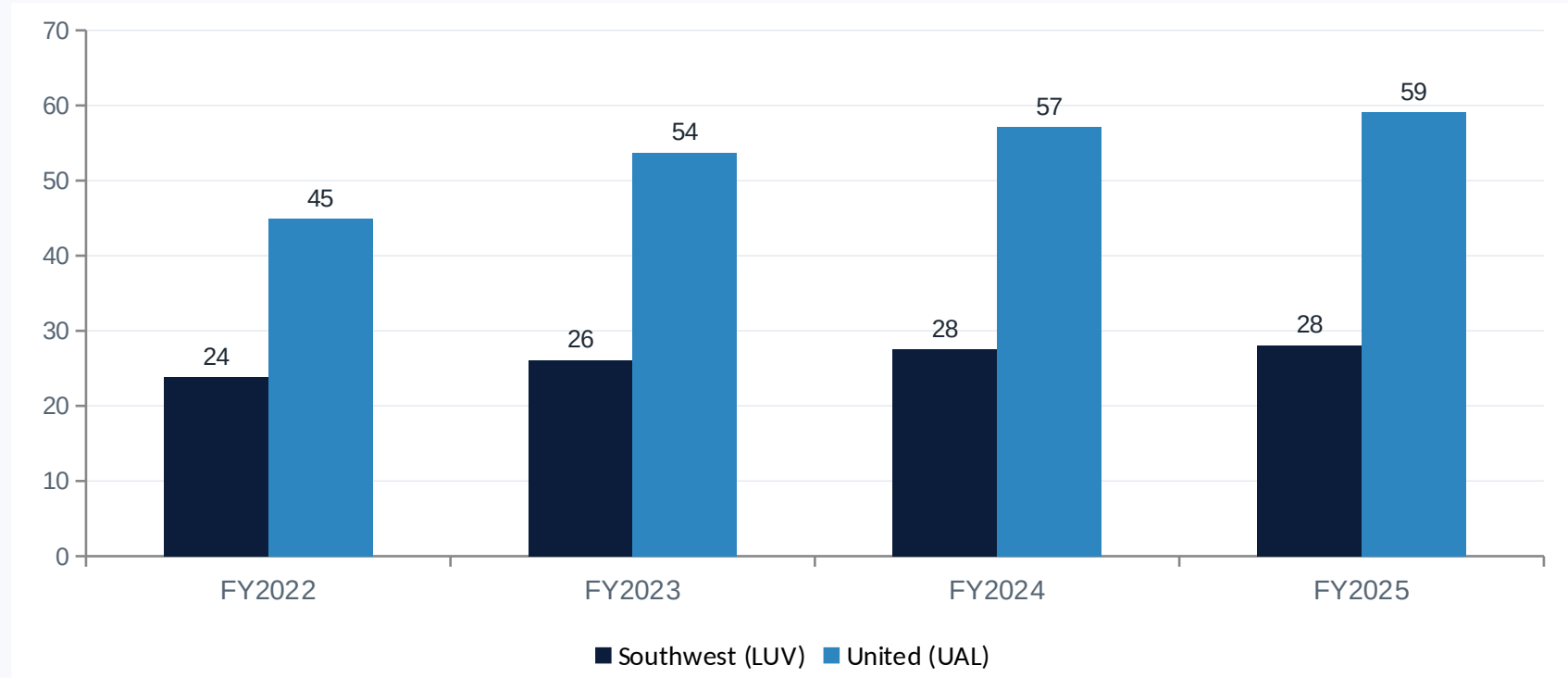
Southwest — Low-Cost Carrier

- Point-to-point network — no hubs, minimal connections
- Single fleet type (Boeing 737) lowers maintenance/training costs
- Historically: open seating, no bag fees, no premium cabin
- Domestic & near-international focus only
- High aircraft utilization via fast turnarounds
- Strong brand loyalty among leisure travelers

United — Global Network Carrier

- Hub-and-spoke system across 7 major US hubs
- Diverse fleet: 737 MAX, 787, 777, A321neo, A320 family
- Premium cabins (Polaris, Premium Plus) drive yield
- Largest Pacific network of any US carrier
- 181M+ passengers carried in 2025 (company record)
- Heavy investment in premium product & Starlink Wi-Fi

Revenue Trajectory — FY2022 to FY2025



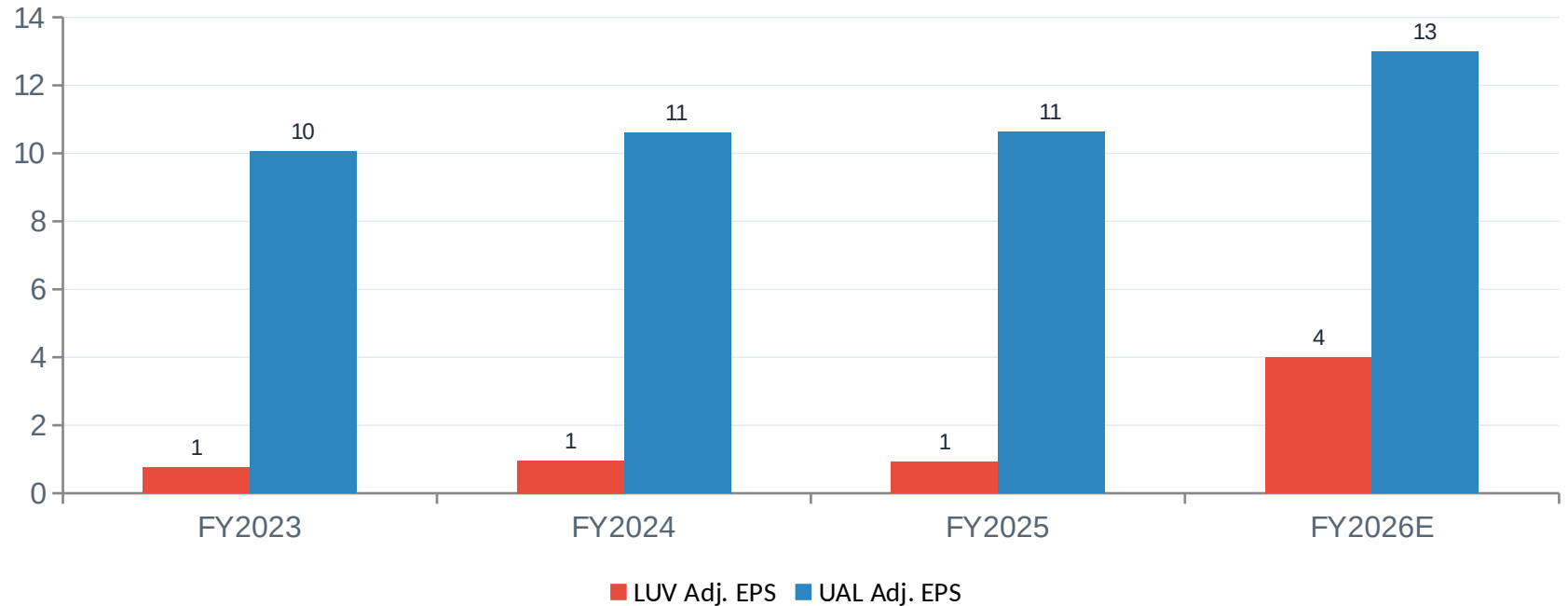
Both carriers posted record revenue in FY2025. United generates 2.1x Southwest's revenue, reflecting its broader network and international reach.

Profitability — The Gap Is Stark

Metric	Southwest (LUV)	United (UAL)	Edge
Net Income (FY25)	\$441M	\$3.4B	UAL
GAAP EPS	\$0.79	\$10.20	UAL
Adjusted EPS	\$0.93	\$10.62	UAL
Pre-Tax Margin	~2%	7.3%	UAL
Adj. EBIT	\$574M	\$4.6B (adj. pre-tax)	UAL
EBITDA	~\$2.3B	~\$8.1B	UAL
Operating Margin	~2.2%	~7.3%	UAL

Key Takeaway: United earns 7.7x more net income on 2.1x the revenue. Southwest's margins are razor-thin — the transformation plan is essential.

EPS Growth — Southwest's Inflection Point



Southwest guided FY2026 adj. EPS of at least \$4.00 — a 300%+ increase. United guides \$12–\$14, representing ~20–30% growth. Southwest's stock surged 19% on guidance day.

Valuation — A Tale of Two Multiples

LUV Valuation

49.9x

Trailing P/E

~10x

Fwd P/E (on \$4 guide)

Market Cap: ~\$19.4B

Dividend Yield: ~1.8%

52-Wk Range: \$23.82 – \$55.11

Morningstar: 264% premium to FV

UAL Valuation

9.4x

Trailing P/E

~7.4x

Fwd P/E (on \$13 mid)

Market Cap: ~\$31.2B

Dividend Yield: None

52-Wk Range: \$53.36 – \$119.21

Morningstar: 520% premium to FV

Discussion Point: Is the market pricing LUV as a turnaround story? UAL trades at a classic cyclical discount — does it deserve better?

Capital Structure & Balance Sheet Health

Metric	Southwest	United
Total Debt	\$6.7B	\$25.0B
Net Leverage	2.4x	2.2x
Cash & Equivalents	\$3.2B	\$15.2B (avail. liquidity)
D/E Ratio	~39% (D/Capital)	142%
Operating Cash Flow	~\$3.5B	\$8.4B
Free Cash Flow	~\$1.5B	\$2.7B
Investment Grade?	Yes (maintained)	Yes

Despite United's higher absolute debt (\$25B vs \$6.7B), its net leverage is actually lower (2.2x vs 2.4x) due to massive cash flow generation. Southwest retired \$3.3B in debt in 2025.

Fleet Strategy — Simplicity vs Scale

Southwest — 803 Aircraft

- All Boeing 737 variants (737-700, -800, -8 MAX)
- Single fleet = lower training, parts, maintenance costs
- Retiring older 737-700s; adding 737-8 MAX deliveries
- Removed 6 seats from 737-700 for extra legroom rows
- Fleet exposure: 100% dependent on Boeing
- Risk: Boeing delivery delays directly cap growth

United — 1,054+ Mainline Aircraft

- Multi-type: 737 MAX, 787, 777, 757, 767, A321neo, A320
- Plus ~430 regional jets (E175, CRJ, ERJ-145)
- 2026: 100+ narrowbody + ~20 787 deliveries planned
- 68% of narrowbody fleet already in Signature Interior
- Largest widebody intake since 1988 for any US airline
- Dual sourcing (Boeing + Airbus) reduces supply risk

Discussion: Does Southwest's single-fleet simplicity create concentration risk, or is it a competitive advantage on unit costs?

Southwest's 2025-2026 Transformation

The most sweeping overhaul in Southwest's 54-year history

Assigned Seating

Ended 54 years of open seating. Operational Jan 27, 2026. Extra legroom premium rows.

Bag Fees

First-ever checked bag fees. Raised \$10 in April 2026. Revenue diversification.

Interline Partners

Launched partnership with Icelandair + 5 others. International connectivity.

\$2.5B Buyback

Completed \$2.6B in repurchases in 2025, retiring ~14% of shares outstanding.

Loyalty Revamp

Amended Chase co-brand deal. Record credit card spend. Dynamic redemption pricing.

Cost Discipline

10%+ corporate headcount reduction. Reduced turn times at 19 airports. 24-hr operations.

2026 EBIT target: ~\$3.8B (up from \$574M in 2025). ROIC target: ≥15% by 2026.

United Next — The Premium Playbook

Premium Revenue

Premium cabin revenue up 11% YoY in FY2025. Record 27.4M premium seats (12% of total). Polaris & Premium Plus expanding.

Starlink Wi-Fi

Rollout across 300+ United Express aircraft. Mainline installations accelerating in 2026. Major CX differentiator.

Signature Interior

68% of narrowbody fleet refreshed with new interiors. NPS +10 pts higher vs. old cabins. Full fleet targeted.

Network Expansion

29 new domestic/Canadian routes + 13 international in 2025. Largest Pacific carrier. 303 widebody departures/day.

Fleet Modernization

82 new aircraft in 2025. 100+ narrowbody + 20 787s planned for 2026. Most widebody intake since 1988.

Operational Excellence

Lowest seat cancel rate in history. First in on-time departures across all 7 hubs in FY2024. Self-service kiosk upgrades.

Shareholder Returns & Capital Allocation

	Southwest	United
Share Repurchases (2025)	\$2.6B (~14% of shares)	\$640M
Dividend	Yes (\$0.72/yr, ~1.8% yield)	None
Total Returned (2025)	~\$2.9B (buybacks + divs)	\$640M (buyback only)
1-Year Stock Performance	~flat (volatile)	+55% (52-wk range)

Southwest pursued aggressive capital return (\$2.9B) despite thin margins — a clear signal to the market (and activist investors) that management is committed to shareholder value. United prioritized debt reduction and fleet investment, with share repurchases as secondary.

Discussion: Is Southwest's aggressive buyback at low margins a value-creation strategy or a defensive move against Elliott Management's activist pressure?

Premium & Ancillary Revenue — The Revenue Quality Battle

United — Premium Leader

- Premium revenue +11% YoY (FY2025)
- Corporate revenue +7% in Q4 2025
- Basic Economy revenue +20% in Q4 (price segmentation)
- Loyalty & cargo revenue up 12% and 30% respectively

Southwest — New Revenue Streams

- Extra legroom upsell from close-in bookings (new)
- Bag fees now generating revenue (new as of 2025)
- Record co-brand credit card spend with Chase
- Interline partnerships opening new markets

The Core Analyst Question

United has a proven premium monetization engine. Southwest is building one from scratch. The risk/reward profile here is asymmetric: Southwest has more upside if execution succeeds, but United has the track record. United's Q4 2024 showed basic economy growing 20% — proving they can monetize across ALL fare classes, not just premium.



Macro Headwind: Iran War & Jet Fuel Crisis

As of April 2026, the aviation industry faces its worst fuel crisis in years

Strait of Hormuz

Closed by Iran since Feb 28, 2026. Handles ~20% of global seaborne oil. Two-week ceasefire announced April 8.

Jet Fuel Prices

More than doubled since conflict began, far outpacing the ~50% rise in crude oil. IATA reports \$209/barrel as of April 3.

Industry Response

Delta: \$2B extra fuel cost in Q2 alone, expects \$4.30/gal. Airlines cutting capacity, raising bag fees \$10, adding refueling stops.

Recovery Timeline

IATA warns it could take months for supply to normalize even if Hormuz stays open. Refinery infrastructure damage is the bottleneck.

Fuel accounts for ~27% of airline operating expenses. This crisis disproportionately hits carriers without hedging or refinery assets.

Iran/Fuel Crisis — Relative Impact: LUV vs UAL

Southwest Exposure

- ~45-46% hedged for 2025 (fuel hedging program)
- Domestic-only network = no Hormuz route exposure
- But: thin margins (~2%) mean fuel spikes hit EPS hard
- Raised bag fees \$10 in April 2026 to offset costs
- Goldman Sachs issued Sell on April 1, citing fuel
- TD Cowen cut PT from \$56 to \$46

United Exposure

- No owned refinery (unlike Delta's Trainer facility)
- Significant international route exposure to Middle East/Asia
- Stronger margins (7.3%) provide more cushion than LUV
- Larger scale means higher absolute fuel costs
- Premium pricing power helps offset: passengers pay up
- Analysts still bullish per April 8 TipRanks notes

Bottom line: Southwest is more vulnerable on margins; United has more international route disruption risk but stronger pricing power as a buffer.

Key Risk Factors

Shared Industry Risks

Jet fuel volatility (Iran crisis), recession risk dampening travel demand, Boeing delivery delays, labor cost inflation, geopolitical disruptions, potential DOT regulatory pressure on ancillary fees

Southwest-Specific Risks

- Transformation execution risk — can they hit \$3.8B EBIT?
- Brand erosion: loyal customers angry about bag fees & seat changes
- 100% Boeing dependence = single point of failure
- Razor-thin margins leave no room for error

United-Specific Risks

- High absolute debt (\$25B) = interest rate sensitivity
- D/E of 142% is elevated vs. peers
- International exposure to Middle East route disruptions
- Premium revenue declines in recession scenario

Analyst Verdict: The Investment Case

Southwest Airlines (LUV)

Bull Case

300%+ EPS growth guidance is transformational. If \$4+ EPS materializes, forward P/E compresses to ~10x. New revenue streams (bags, premium seats, interlines) are just beginning. WSJ #1 airline = brand strength.

Bear Case

Execution risk is enormous. Fuel crisis could derail 2026 guidance. Goldman has a Sell. Morningstar says 264% premium to fair value. Brand may suffer from changes. Operating margin of 2% leaves zero buffer.

United Airlines (UAL)

Bull Case

Trades at 9.4x trailing P/E — cheap for a company guiding \$12–\$14 EPS. Premium revenue engine is proven. Massive fleet modernization underway. Starlink + Signature Interior drive NPS. FCF of \$2.7B.

Bear Case

\$25B in debt is the elephant in the room. D/E of 142%. No dividend means income investors stay away. International routes face Iran/geopolitical risk. Premium revenue vulnerable in recession.

My View: UAL is the stronger business today. LUV is the higher-conviction turnaround bet. In an uncertain macro environment (Iran, fuel), I'd lean UAL for quality, LUV for optionality.

Thank You

Questions & Open Discussion

Data sourced from SEC filings, company earnings releases (Jan 2026), CNBC, Reuters, IATA, Robinhood, Morningstar